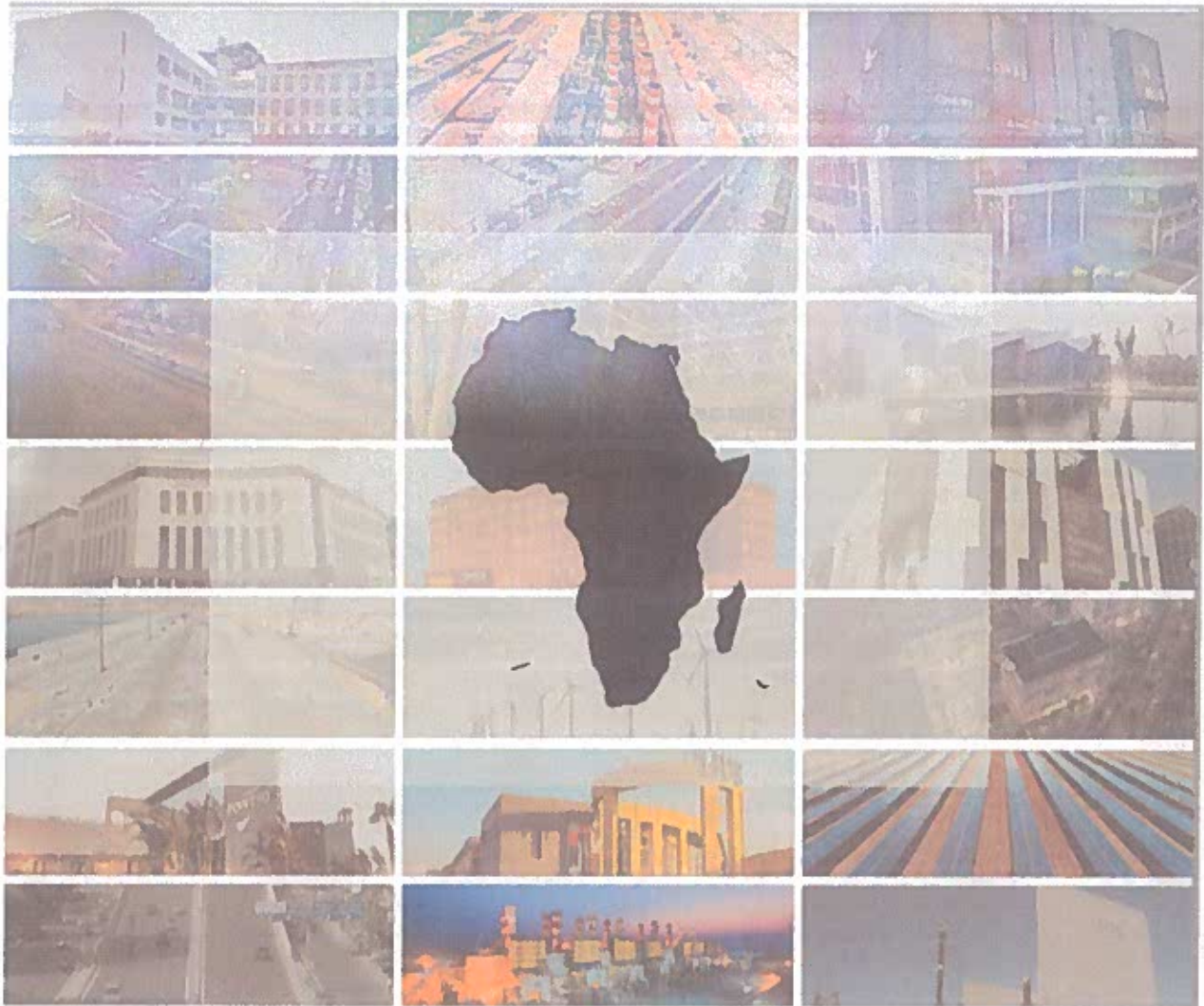




ROWAD
MODERN ENGINEERING

Subcontract Agreement Process

P-CN-01

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April, 2024

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1. OBJECTIVES

The objective of this process is to formalize the steps of creating a subcontract in Rowad. In addition to highlighting the categories of the subcontracts and the signature matrix for each category.

2. STAKEHOLDER

- H.O. TO
- PM
- Contracts
- Procurement (Civil/Arch)
- Procurement (MEP)
- Site TO
- Tendering
- Commercial
- Earthmoving
- Projects Control
- Finance

3. LIABLE STAKEHOLDER

- H.O. TO
- PM
- Contracts
- Procurement (Civil/Arch)
- Procurement (MEP)
- Site TO
- Tendering
- Earthmoving
- Projects Control
- Finance

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4. TERMS AND DEFINITION

- **SoW:** Scope of Work
- **CS:** Comparison Sheet
- **BTB:** Back-to-Back
- **DOR:** Division of Responsibility
- **LoA:** Letter of Award
- **LC:** Letter of credit
- **TOM:** Technical Office Manager
- **PM:** Project Manager
- **H.O. TO:** Head Office Technical Office

5. RELATED DOCUMENTED INFORMATION

- Contract request, F-P-CN-01-01
- DOR, F-P-CN-01-02
- Self-Execution subcontract (Unit rate), F-P-CN-01-04
- RME Self-Execution internal subcontract, F-P-CN-01-06
- Service Provider subcontract, F-P-CN-01-10
- SC Agreement Signature Matrix, F-P-CN-01-11
- Apply Subcontract Template, F-P-CN-01-13
- Supply Apply Subcontract Template (Less than 500K), F-P-CN-01-14
- Supply Apply Subcontract Template (500K-2M), F-P-CN-01-15
- Supply Apply Subcontract Template (More than 2M), F-P-CN-01-16
- Supply Only Subcontract Template, F-P-CN-01-17
- Adjustment Price Addendums-Revised POs Approval Form, F-P-CN-01-18
- Minutes of Meeting, F-P-QD-06-02
- Attendance Sheet, F-PQP-01-15
- Supply Engineering Material - Comparison Sheet (CS), F-P-VMO-01-02
- Apply-Service Provider Operation - Comparison Sheet (CS), F-P-VMO-01-03
- Supply-Apply Comparison Sheet, F-P-VMO-01-08
- LOA

6. PROCESS DETAILS

6.1 PROCESS INPUT

- Comparison Sheet

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- Contract Request
- Approved Vendor List
- Client Nomination Letter

6.2 Process Operations

Sr.	Process Cycle Description	Responsibility	Form
Case 1: Potential Subcontractor (Pre-bid agreement)			
1	Tendering shall provide contracts with the Pre-bid agreement request showing the following: • Single or Multi phase agreement • Price offer (Consultant/Subcontractor) • DOR • Scope of works (for the Single or the Multi phase)	Tendering	
2	Before Project Awarding Contracts shall finalize the Pre-bid agreement along with all special conditions (if any), with the selected subcontractor before project awarding.	Contracts	
3	After Project Awarding to ROWAD Tendering & Commercial shall conduct a S/C documents handover meeting with Procurement/MEP. H.O. T.O & Contracts shall provide them with the commercial and technical offers including the detailed SoW, DOR, and Terms & Conditions, etc. Procurement/MEP shall arrange a meeting with the Subcontractor to finalize the subcontract, in the presence of Tendering, Commercial, Contracts & H.O. T.O. Tendering/Commercial: Act as a witness. Contracts: Finalizes subcontract according to the signed pre-bid agreement. H.O. T.O: Reviews technical documents.	Tendering Commercial H.O. T.O Contracts Procurement MEP	MOM F-P-QP-06-02 DOR F-P-CN-01-02
4	Procurement/MEP/H.O. TO shall collect the requested documents below from the concerned departments within two weeks from the conducted meeting to finalize the subcontract agreement documents. • Contracts shall draft the subcontract based on the final agreed technical and commercial terms (In the pre-bid phase).	Procurement MEP Contracts Projects Control	

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Sr.	Process Cycle Description	Responsibility	Form
	- Projects Control dept shall provide final subcontractor time schedule, duration, and the intermediate milestones. - Finance shall provide the LC (if any), Advance Payment bond & Performance bond templates to be added with the Subcontract. - H.O. T.O shall provide BOQ, Specs & any technical requirements.	Finance H.O. T.O	
5	Contracts shall print, sign & stamp the final subcontract conditions. Procurement/MEP/H.O. T.O shall prepare and print the final subcontract agreement with the full annexes to get the initials (Refer to the SC Agreement Signature Matrix F-P-CN-01-11) on its relevant subcontract documents and send to the subcontractor for signature.	Contracts Procurement MEP H.O. T.O	SC Agreement Signature Matrix F-P-CN-01-11
6	Procurement/MEP/H.O. T.O shall send one of the signed hard copies to the Subcontractor and the other to the Finance. Signed subcontract soft copy to be distributed to all concerned departments by Procurement/MEP/ H.O. T.O.	Procurement MEP H.O. T.O	
7	In critical cases, LOA shall be issued ahead of the subcontract.	Contracts	LOA
Case 2: Nominated Subcontractor			
8	Commercial & Tendering shall conduct S/C documents handover meeting with Procurement/MEP/H.O. T.O, then Contracts shall provide them with the commercial and technical offers including the detailed SoW, DOR, and Terms & Conditions, etc.	Commercial Tendering Procurement MEP H.O. T.O	DOR F-P-CN-01-02
9	Follow steps 4-6 in case 1. Contracts shall ensure applications of BTB conditions are applied in the nominated subcontract.	Contracts	
10	Incase PM receives a nomination letter from client after awarding phase, PM shall send it to Contracts, Finance & Procurement/MEP/H.O. T.O within 24 hours.	PM	

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Sr.	Process Cycle Description	Responsibility	Form
11	Contracts department drafts the Subcontract within 2 weeks from receiving the nomination letter.	Contracts	
CASE 3: Supply & Apply Subcontracts			
12	During Operation Coordination Meeting (Refer to Project Launching Process "F-P-TN-02"), Contracts & procurement/MEP shall agree on which subcontracts will be handled by Contracts for selected packages.	Contracts Procurement MEP	MOM F-P-QP-06-02
13	<u>Case A (Subcontracts handled by Contracts dept):</u> Procurement/MEP shall provide Contracts with the approved CS, DOR & Scope of Work.	Procurement MEP	Supply Engineering Material - Comparison Sheet F-P-VMO-01-02 Supply-Apply Comparison Sheet F-P-VMO-01-08 DOR F-P-CN-01-02
14	Projects Control shall provide final subcontractor time schedule, duration, and the intermediate milestones upon request by contracts within a maximum of 2 weeks.	Projects Control	
15	Procurement/MEP shall prepare the rest of the Subcontract Annexes. Contracts shall finalize the subcontract within 2 weeks from receiving the approved CS, DOR & Scope of Work from the Procurement/MEP, then Procurement/MEP sends the final subcontract to the subcontractor for signature. Signatures to follow the SC Agreement Signature Matrix (F-P-CN-01-11)	Procurement MEP Contracts	SC Agreement Signature Matrix F-P-CN-01-11
16	Procurement/MEP shall send one of the signed copies to the Subcontractor and the other to the Finance department.	MEP Procurement	
17	<u>Case B (Subcontracts handled by Procurement & MEP):</u> After CS approval (Refer to Vendor Selection and bidding Process "P-VMO-01"), procurement/MEP	Procurement MEP	Supply Engineering Material - Comparison Sheet (CS) F-P-VMO-01-02

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Sr.	Process Cycle Description	Responsibility	Form
	engineer shall issue a contract draft using the project subcontract templates issued by contracts department including all related attachments along with DOR, within 3 working days from CS approval.		Supply-Apply Comparison Sheet F-P-VMO-01-08 Supply Apply Subcontract Template (Less than 500K) F-P-CN-01-14 Supply Apply Subcontract Template (500K-2M) F-P-CN-01-15 Supply Apply Subcontract Template (More than 2M) F-P-CN-01-16 Supply Only Subcontract Template F-P-CN-01-17 DOR F-P-CN-01-02
18	Projects Control shall provide final subcontractor time schedule, duration, and the intermediate milestones upon request by Procurement /MEP within a maximum of 2 weeks.	Projects Control	
19	Procurement/MEP engineer shall send the subcontract draft for PM review via email within 48 hours. If no response within the said period, it is considered approved. Signatures to follow the SC Agreement Signature Matrix.	Procurement MEP PM	SC Agreement Signature Matrix F-P-CN-01-11
20	Procurement/MEP engineer shall send the subcontract draft to the subcontractor, after the subcontractor reviews, Procurement/MEP engineer & relevant Department Head shall initialize the subcontract & send	Procurement MEP Contracts	

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Sr.	Process Cycle Description	Responsibility	Form
	it to Contracts (if needed) for review, comments (if any) within 1-3 working days. Correction by the relevant department to be replied-back within maximum 1-3 working days.		SC Agreement Signature Matrix F-P-CN-01-11
21	Procurement/MEP engineer shall send the subcontract to the subcontractor for signature within 2 working days.	Procurement MEP	
22	The issuing department is responsible for distributing the subcontract. Original copies to finance & Subcontractor. Other departments will have electronic copies.	Procurement MEP	
23	After signature, subcontract shall be uploaded on (ORACLE).	Procurement MEP	
CASE 4: Apply subcontracts			
24	Site TO shall send a contract request to H.O. T.O, fulfilling the planning dates for contracts issuance/activity commencement date on site.	Site TO	Contract Request F-P-CN-01-01
25	Case I (Direct Award Projects): Compare budget to price of subcontractor mentioned in the contract request (if any). Three quotations to be collected in case no budget is available or uncommon work to Rowad. Case II (Competitive Bidding Projects): Comparing market reference price to the price of subcontractor, three quotations are required. Three quotations are not required for Earthwork & repairs, benchmark to be compared with the subcontractor price. H.O. T.O shall prepare CS within 3 working days from receiving the contract request and send it to PM for approval within 1 working day.	H.O. T.O PM	Apply-Service Provider Operation - Comparison Sheet (CS) F-P-VMO-01-03
26	After CS approval & referring to (Refer to Vendor Selection and bidding Process "P-VMO-01"), H.O. TO shall prepare contract draft according to project	H.O. TO	Apply Subcontract Template F-P-CN-01-13

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Sr.	Process Cycle Description	Responsibility	Form
	subcontract templates including all attachments within 3 working days.		Self-Execution subcontract (Unit rate) F-P-CN-01-04
27	For earthmoving works, subcontract to be sent to Earthmoving department for review & approval. Within 1 working day	Earthmoving	
28	H.O. T.O shall send the subcontract to PM for review & signature within 24 hours, follow subcontract signature matrix.	H.O. T.O PM	SC Agreement Signature Matrix F-P-CN-01-11
29	After PM reviews, H.O. T.O shall send the subcontract to the Subcontractor for review & comments (if any), within 2 working days.	H.O. T.O	
30	After the subcontractor reviews, H.O. T.O shall send the subcontract to the relevant Department Head & PsM to initialize then to the Contracts (if needed) for review comments (if any) within 1-3 working days.	H.O. T.O. Contracts	SC Agreement Signature Matrix F-P-CN-01-11
31	After Contracts review, H.O. T.O shall send the subcontract to the subcontractor for signature within 1 working day.	H.O. T.O.	SC Agreement Signature Matrix F-P-CN-01-11
32	Signatures to follow the SC Agreement Signature Matrix (F-P-CN-01-11).		SC Agreement Signature Matrix F-P-CN-01-11
33	DC shall send a notification email for the new subcontract to all concerned parties. A subcontract scanned copy to be kept with H.O. T.O Two original copies to be distributed to Finance department and the S/C.	DC	
34	After signature, Subcontract shall be uploaded on (ORACLE) within 2-3 working days.	DC	
CASE 5: RME Self Execution subcontracts			

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Sr.	Process Cycle Description	Responsibility	Form
35	H.O. T.O shall prepare CS for RME Self Execution vs the similar subcontractor for the same work or compare to budget in case of there is no S/C	H.O. T.O.	Apply-Service Provider Operation - Comparison Sheet F-P-VMO-01-03
36	H.O. T.O shall prepare an internal subcontract with RME self-execution dept with an approximate value of 20-25% for each project, if applicable. The price of each item shall be 90% of a similar subcontract for the same work.	H.O. T.O	RME Self-Execution Internal Subcontract F-P-CN-01-06
37	H.O. T.O shall upload the subcontract on (ORACLE) after obtaining signatures from PM, S/C and TO.	H.O. T.O	
CASE 6: Service Provider Subcontracts			
38	After CS approval, concerned department shall prepare the Service provider subcontracts according to Rowad's needs and requirements to be signed by the subcontractor and concerned department.	Concerned Department	Apply-Service Provider Operation - Comparison Sheet (CS) F-P-VMO-01-03 Service Provider Comparison Sheet F-P-HR-02-09 Service Provider Subcontract F-P-CN-01-10
Case 7: Inflation Subcontract Addendum			
39	Adjustment Price Addendums-Revised POs Approval Form (F-P-CN-01-18) to be used.		Adjustment Price Addendums-Revised POs Approval F-P-CN-01-18

6.3 PROCESS OUTPUT

- Signed subcontract with all the relevant annexes.
- Adjustment Price Addendums-Revised POs Approval

7. PROCESS RISK ASSESMENT

Included in the risk register form No. F-P-QD-05-01 "Risk identification and assessment" maintained by the HoD, along with the action plan to address risks and opportunities".

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8. PROCESS CONTROL

- Comparison sheet
- Subcontract clauses.
- Client's contract (BTB)
- Signature matrix
- Approved vendor list

9. PERFORMANCE MEASURES

- Compare (F-P-TN-02-07) Sourcing Plan vs. actual subcontracts issuance in line with tender budget.

10. DOCUMENT CHANGE HISTORY

No.	Revision Level	Description of Changes	Effective Date
1	00	<i>New Process</i>	05/10/2021
2	01	<i>Case1: Potential subcontractor (Responsibilities) Case 2: Nominated subcontractor (Responsibilities) Case 5,6,7,8,9 (All sections)</i>	16/02/2022
3	02	Points 1, 2, 5, 6, 8, 9, 10, 13, 15, 20, 24, 30, 39.	01/04/2024